

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

R&M INTERNATIONAL SALES CORPORATION, *Claimant*

v.

COSCO SHIPPING LINES CO., LTD., *Respondent*.

DOCKET NO. 2018(I)

Served: December 19, 2025

BEFORE: Erin M. WIRTH, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION AND SUMMARY OF DECISION

R&M International Sales Corporation (“R&M”) initiated this proceeding by filing an informal complaint at the Federal Maritime Commission (“FMC” or “Commission”) against COSCO Shipping (North America) Inc. (“CSLNA”), alleging that CSLNA violated the Shipping Act in connection with an arrangement between Claimant and CSLNA to export Claimant’s containers. CSLNA, an agent for COSCO SHIPPING Lines (“COSCO”), did not file a response to the Claim. On May 29, 2025, Claimant was ordered to amend its Claim to name COSCO as a respondent to the Claim. On June 18, 2025, Claimant submitted an Amended Claim naming COSCO as the sole respondent. On July 11, 2025, COSCO filed its response.

On July 15, 2025, a Request for Additional Documents and Information was issued, which, among other things, requested clarity from Claimant regarding which Shipping Act section(s) it alleges to have been violated. Claimant’s response stated it alleges that COSCO violated sections 41102(c), 41104(a)(3), and 41104(a)(4) of the Shipping Act, by repeatedly changing the Earliest Return Date after Claimant had already withdrawn empty containers for export stuffing. Claimant alleges that this conduct caused an additional \$30,815 in storage and move expenses, for which it seeks reparations.

A. Background and Procedural History

R&M, an exporter, contracted with Miami Global Lines (“MGL”), an NVOCC and ocean freight forwarder, in 2022, to transport containers from the United States to Greece. MGL in turn booked these containers with COSCO. MGL also arranged for trucking of the containers from

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

Covington, Georgia, where Claimant was located, to the COSCO-designed rail ramp in Austell, Georgia.

COSCO provided booking acknowledgments, which noted the Earliest Return Date (“ERD”) for four bookings. However, these ERDs were changed on a number of occasions. Claimant asserts that it pulled empty containers based on the ERD information COSCO provided, and that it loaded and trucked those containers to a truck yard near the rail ramp, in order to be ready to hand off those containers to COSCO. The ERD dates were afterwards changed again, however, and the containers sat in truck yards accruing storage fees. Claimant argues that the truck yard storage plus additional move expenses were the fault of COSCO, and it seeks reparations for those expenses.

COSCO acknowledges that it changed the earliest return dates for the containers at issue, but it asserts these delays were not the fault of COSCO, as this was during the pandemic period, where all vessels were extremely delayed due to port and terminal congestion issues. COSCO notes that it absorbed the cost of, and did not bill Claimant for, demurrage costs at the terminal – which resulted from additional delays after the containers were handed off to COSCO. COSCO further asserts that the truck yard storage costs were not fees collected by COSCO and have nothing to do with COSCO. As the parties were unable to reach a resolution regarding the issue, Claimant initiated this proceeding.

On December 12, 2024, the Secretary of the Commission issued a Notice of Filing of Small Claims Complaint and Assignment (“Notice”), notifying CSLNA of the Claim and instructing it to file a response by January 7, 2025, and to indicate whether it consented to the use of the Commission’s informal procedures at Subpart S for adjudication of the Claim. Notice at 1. The Secretary also assigned this proceeding to the Chief Administrative Law Judge (“Chief ALJ”) to designate a small claims officer (“SCO”) to adjudicate the proceeding. Notice at 2.

On December 20, 2024, R&M filed a notice of appearance, submitting Syed Hamid Husseini, President and CEO of Miami Global Lines, as counsel for R&M. On March 12, 2025, R&M was asked to clarify Mr. Hussaini’s role, and R&M responded, stating that “Syed Hamid Hussaini is the president of Miami Global Lines and also our NVOCC who arranged this shipment.” R&M was, however, informed that Mr. Hussaini could not serve as a representative for R&M regarding the complaint, because he was neither an officer of R&M, a licensed attorney, nor was he admitted to practice at the Federal Maritime Commission. Later on March 12, 2024, an R&M employee filed a notice of appearance, which notice was accepted. *See* 46 C.F.R. § 502.21.

CSLNA initially requested, and was granted, an extension of time to file its answer. But CSLNA ultimately did not file a response to the Claim. Because CSLNA did not refuse the use of informal procedures for the adjudication of this proceeding, on April 1, 2025, the Chief Administrative Law Judge appointed a Small Claims Officer for this proceeding. On April 23, 2025, the SCO issued an order to show cause why default judgment should not be issued against CSLNA. The same order requested additional information from Claimant, which Claimant timely provided on May 13, 2025 (“C. Supp. Info”).

On May 29, 2025, Claimant was ordered to amend its Claim to name COSCO as a respondent to the Claim. On June 13, 2025, Claimant submitted an Amended Claim naming COSCO as the sole respondent. On June 18, 2025, the Secretary of the Commission issued a Notice of Filing of Amended Small Claims Complaint and Assignment notifying COSCO of the Claim. On July 11, 2025, COSCO filed its answer.

Pursuant to 46 C.F.R. § 502.304(a) and (e) of the Commission's Rules of Practice and Procedure, which authorize the SCO in a Subpart S proceeding to request, if deemed necessary, additional documents or information from the parties, on July 15, 2025, a Request for Additional Documents and Information ("Request for Supplemental Information" or "RSI") was issued. The RSI directed the parties to provide certain information and documents by August 12, 2025, and permitted any party wishing to file a response to the opposing party's submission to do so by August 26, 2025. Claimant responded on August 12, 2025, by submitting responses to the RFI ("C. Supp. Info 2") and attachments ("Exs. A-I"). COSCO also responded on August 12, 2025, submitting responses to the RFI ("R. Supp. Info") and attachments ("Exs. A-K"²). Neither party replied to the other's response. The record is therefore ripe for a decision. Along with this decision, an order of reassignment is being issued, naming the undersigned as the SCO in this proceeding.

As discussed in greater detail below, R&M failed to prove its allegations concerning sections 41102(c), 41104(a)(3), and 41104(a)(4). While the evidence shows that COSCO did change the ERD dates, Claimant did not carry its burden of showing these changes to be unreasonable. Neither do the facts presented establish an unreasonable refusal of cargo space accommodations or unfair or unjustly discriminatory practices pursuant to a tariff.

B. Argument of the Parties

1. Claimant R&M's Arguments

In its claim as amended, R&M alleges that in July 2022, R&M booked 7 containers with MGL, who in turn booked with COSCO, and that:

Having valid booking confirmation of COSCO through MGL we loaded our containers. However, we have been advised by MGL, despite providing confirmed booking COSCO shipping line had forced us to keep our export ready containers in private yard outside by repeatedly changing their Booking and Earliest Return Date (ERD) for the bookings under reference.

² Because respondent included two Exhibit Bs among its exhibits, these will be referred to as Exhibit B-1 and Exhibit B-2.

Amended Claim, § III, pg. 1; *see also* Claim, Ex.³ at pgs. 6-7 (Claimant refers to these 7 containers, from Booking #s 6340277340 and 6340277280, as the “Case #1” bookings).

R&M also references an additional 4 containers booked with MGL, who in turn again booked with COSCO, and asserts that “[h]ere too COSCO changed the ERD after we picked up empty containers and we were forced to store full containers outside of seaport resulting into extra cost.” Claim, Ex. at pgs. 6-7 (Claimant refers to these 4 additional containers, from Booking #s 6334508600 and 6334022290, as the “Case #2 bookings”).

More specifically, R&M alleges, regarding the Case #1 bookings that:

- COSCO initially issued ERDs for each container, and R&M withdrew empty containers accordingly.
- COSCO subsequently revised the ERDs multiple times, often within 24-48 hours of the scheduled return, citing internal scheduling issues.
- As a result, R&M was forced to:
- Relocate containers from the port to a private warehouse on July 12, 15, and 18, 2022
- Re-deliver containers to the port of July 20 and 22, 2022, based on the final ERDs.
- These changes caused double handling and storage costs, which are documented in the attached warehouse invoices and correspondence.

C. Supp. Info. 2, no. 2 at pgs. 3-4. R&M also provides a chart showing the booking sequence for the Case #1 bookings, indicating the date of issuance of each booking and revision, and providing the booking confirmation documents as exhibits. C. Supp. Info. 2, no. 2 at pgs. 4-5 and Ex. A at pgs. 2-29. R&M argues that these “changes in booking date forced us to keep the export ready containers in private yards resulting in extra moves and storage . . . incurring heavy expenses of \$21,500.” C. Supp. Info. 2, no. 2 at pg. 5.

R&M offers fewer details concerning the Case #2 bookings, but similarly provides a chart listing the booking acknowledgements by Booking number, showing the date of issuance of each booking and revision, and including the booking confirmation documents as exhibits. C. Supp. Info. 2, no. 2 at pgs. 5-6 and Ex. A at pgs. 30-59. R&M further argues that in “this case the extra charges of \$7915 we incurred for storage of containers outside the port” are owed to R&M as reparations. C. Supp. Info. 2, no. 2 at pg. 6.

R&M thus asserts that COSCO violated section 41102(c) by “repeatedly chang[ing] the Earliest Return Date (ERD) and booking confirmations after R&M had already withdrawn empty containers for export stuffing,” and that these “changes were made without reasonable notice or justification, and occurred on multiple occasions in July 2022 and August 2022.” C. Supp. Info. 2, no. 1 at pg. 2. R&M adds that this “conduct forced R&M to incur substantial additional costs

³ Citations to Claim exhibits are a reference to pages 4 through 41 of the pdf filed by Claimant on December 17, 2024, because Claimant did not reattach these exhibits to its amended claim filed on July 16, 2025.

for: multiple container movements; temporary storage in private warehouses; [and] delays in export schedules.” C. Supp. Info. 2, no. 1 at pg. 2.

In addition, R&M alleges that COSCO violated section 41104(a)(3), because “[d]espite confirmed bookings through Miami Global Lines (MGL), COSCO refused to accept export-ready containers by altering ERDs and not honoring the original booking terms” and that this “refusal disrupted R&M’s logistics chain and export commitments, causing financial harm and operational inefficiencies.” C. Supp. Info. 2, no. 1 at pgs. 2-3.

Finally, R&M alleges that COSCO violated section 41104(a)(4), through “COSCO’s inconsistent and discriminatory treatment of R&M’s shipments – despite confirmed bookings – constitutes an unfair practice under this section.” C. Supp. Info. 2, no. 1 at pg. 3. R&M further alleges that “R&M was treated differently from other shippers who were not subjected to such repeated changes, without any transparent or reasonable explanation.” C. Supp. Info. 2, no. 1 at pg. 3.

Asked to present proof of payment, R&M submitted proof of its payment to MGL for the Case #2 truck yard and delivery charges. PF 40. However, R&M submitted only receipts showing that MGL paid the trucker/warehouser for the Case #1 charges. PF 39. No evidence was submitted showing that R&M actually paid the Case#1 truck yard and delivery charges.

2. Respondent COSCO’s Arguments

COSCO generally denies R&M’s allegations, asserting that while COSCO did change the booking and earliest return dates for the containers at issue “[t]his was during the pandemic period where all vessels were extremely delayed due to port/terminal congestion.” R. Supp. Info. no. 1 at pg. 1. COSCO further explains that:

[T]he ERD was changed due to congestion and vessel scheduling changes.
However, empty containers could have been returned which would have mitigated any 3rd party storage charges. None of the disputed charges are COSCO charges.
In fact, COSCO absorbed any terminal storage/demurrage charges for the 7 containers.

Answer, no. 3 at pg. 1.

Indeed, while COSCO acknowledges that it did not refund the amounts alleged in the complaint, it asserts that it did pay for storage costs at the terminal. R. Supp. Info. no. 3 at pg. 4. COSCO highlights that it paid \$718 for Booking #6340277340, \$1,028 for Booking #6340277280, \$1,500 for Booking #6334508600, and \$832 for Booking #6334022290, totaling to \$4,078 in terminal storage costs. R. Supp. Info. no. 1 at pgs. 1-3. R&M does not contest that COSCO made, and did not seek reimbursement for, these terminal storage costs across the four bookings.

COSCO further provides bills of lading for the relevant shipments, and the final booking acknowledgements for each of the relevant shipments. R. Supp. Info., Exs. C-J. Asked whether COSCO had received complaints in the last three years from other entities regarding changing the earliest booking and earliest return dates of shipments, COSCO responded that it was unable to determine the number of complaints received over the last three years related to changing bookings and earliest return dates of shipments. R. Supp. Info. at no. 11.

II. PERTINENT FACTS ESTABLISHED BY THE RECORD (“PF”)

A. Background

1. The Parties

1. Claimant R&M International Sales Corporation is a private, family-owned and operated business, located in Norristown, Pennsylvania. Amended Claim ¶ I at pg. 1.
2. R&M was the shipper of a number of containers, which were booked with Miami Global Lines (“MGL”), who in turn booked with COSCO. Amended Claim ¶ III at pg. 1; Answer at no. 3, pg. 1.
3. COSCO Shipping Lines (North America) Inc. is the U.S. agent for COSCO SHIPPING Lines Co., Ltd. R. Supp. Info., Ex. K at pg. 2.
4. COSCO SHIPPING Lines Co., Ltd. is a vessel-operating-common carrier (“VOCC”). COSCO Answer pg. 1 at no. 2; *see also* R Supp. Info, Ex. K.
5. COSCO acted as common carrier, transporting containers for R&M in 2022, including those covered by Booking # 6340277340, 6340277280, 6334508600, and 6334022290. R. Supp. Info. no. 1 at pgs. 1-4; C. Supp. Info. 2 no. 2 at pgs. 3-6.
6. Miami Global Lines (“MGL”) is registered with the Commission as an ocean freight forwarder and as an NVOCC, under corporate name Miami Freight & Logistics Services, Inc., Organization No. 023172. <https://www2.fmc.gov/oti/>

2. Bookings at Issue

7. R&M makes a claim for reparations for \$30,915, encompassing Booking #s 6340277340, 6340277280, 6334508600, and 6334022290. Amended Claim ¶ VI; Claim, Ex.⁴ at pgs. 6-7; R. Supp. Info, Ex. J.

⁴ Citations to Claim exhibits are a reference to pages 4 through 41 of the pdf filed by Claimant on December 17, 2024, because Claimant did not reattach these exhibits to its amended claim filed on July 16, 2025.

8. Complainant refers to Booking #s 6340277340 and 6340277280 together as “Case #1.” *See, e.g.*, Claim, Ex. at pg. 6; C. Supp. Info. 2, Ex. A at pg. 1. These bookings encompassed seven containers, which were shipped on COSCO vessels from the United States to Greece in or around September 2022. R. Supp. Info., Exs. H, J; C. Supp. Info. 2, Ex. G at pgs. 2-3. MGL hired a company called Universal Intermodal Services, Inc. (“Universal”) to handle the trucking and warehousing outside of the port prior to handoff to COSCO for both of the Case #1 bookings. C. Supp. Info. 2, Ex. G at pgs. 2-3, Ex. C at pgs. 2-3.
9. Complainant refers to Booking #s 6334508600 and 6334022290 together as “Case #2.” *See, e.g.*, Claim, Ex. at pgs. 6-7; C. Supp. Info. 2, Ex. A at pg. 1. These bookings encompassed four containers, which were shipped on COSCO vessels from the United States to Greece in or around August 2022. R. Supp. Info., Exs. D, F. MGL hired a company called BPX Logistics LLC (“BPX Logistics”) to handle the trucking and warehousing outside of the port prior to handoff to COSCO for both of the Case #2 bookings. C. Supp. Info. 2, Ex. G at pg. 2.
10. Booking # 6340277340 includes container #s CBHU9521803, CAIU7051866, and CSNU7992464; Booking # 6340277280 includes container #s FCIU9678529, TGBU8940244, CSNU7858100, and BEAU5673254; Booking # 6334508600 includes container #s BSIU9312901 and FCIU9968560; and Booking # 6334022290 includes container #s TCNU6545030 and YHU783569. C. Supp. Info. 2, Ex. G at pgs. 2-3.
11. The containers at issue were transported by COSCO pursuant to service contract agreement # ECN22101, signed between COSCO as carrier and MGL as merchant. R. Supp. Info. at no. 5; *see also* R. Supp. Info., Ex. K.
12. The Bill of Lading number for each of the relevant shipments is the Booking # preceded by COSU. For example, Booking # 6340277340 is Bill of Lading # COSU6340277340, and Booking # 6334508600 is Bill of Lading # COSU6334508600, etc. Claim, Ex. at pgs. 6-7; R. Supp. Info, Exs. F, J.
13. The bill of lading for each of the four shipments lists as shipper Miami Global Lines, carrier COSCO Shipping Lines Co., Ltd., with a port of loading in Savannah, Georgia, and a port of discharge in Greece, and listing as service contract number ECN22101. R. Supp. Info., Ex. J (COSU6340277340), Ex. H (COSU6340277280), Ex. F (COSU6334508600), Ex. D (COSU6334022290).

B. Delays in Vessel Dates

14. The parties agree that COSCO initially provided booking acknowledgements for all four of the relevant Booking #s, but that these vessels were afterwards delayed on a number of occasions, resulting in COSCO providing revised Booking Acknowledgements (“BAs”). Amended Claim § III; Answer at no. 3, pgs. 1-2.

15. MGL coordinated loading of the containers with R&M. For example, a July 27, 2022, email from MGL to R&M described a loading schedule for the seven containers associated with Booking #6340277340 and #6340277280, with the first container planned to be loaded August 4, 2022, and with the seventh container planned to be loaded on August 8, 2022. This email also noted that Universal Intermodal would handle the trucking for these bookings. Below the main body of MGL's email, a "Special Note" indicated:

Due to ongoing uncertainties in booking and non-availability of containers and storage space at terminals, many a times after issuing empty containers lines are shifting their ERD and dates of receiving containers in the yard. Such situations force us to store containers in private warehouses and involve additional move of containers at an extra cost. While we try our best to avoid such situations, under unavoidable situations any extra charges incurred in storage, security and additional trips made by truckers will be payable by you."

C. Supp Info. 2, Ex. F at pg. 2; *see also* C. Supp Info. 2, Ex. F at pgs. 4-5 (including the same "Special Note" text in additional emails from MGL to R&M, sent on July 27 and on July 25).

16. MGL provided additional details concerning the planning for Booking #6340277340 and #6340277280 in a message sent to COSCO seeking reimbursement of fees. As the COSCO email relayed:

Miami Global Lines arranged trucking from the customer's door in Covington GA to the NS ramp in Austell GA, the COSCO designated rail ramp in the Atlanta area for rail transport to the port of Savannah GA.

We had confirmed the loading dates with the customer in Covington as follows:

1st cntr: Thursday, 04th Aug. at 11:00 am
2nd cntr: Thursday, 04th Aug. at 01:00 pm
3rd cntr: Friday, 05th Aug. at 11:00 am
4th cntr: Friday, 05th Aug. at 01:00 pm
5th cntr: Friday, 05th Aug. at 03:00 pm
6th cntr: Monday, 08th Aug. at 11:00 am
7th cntr: Monday, 08th Aug. at 01:00 pm

We had set up this revised loading schedule based on COSCO changing the ERD from the original ERD of July 29 to August 5, then changing it again to August 12. . . . As of August 9th, all 7 containers were loaded, parked in our trucker's yard and ready to be returned to the rail ramp.

R. Supp. Info., Ex. B-1 at pgs. 7-8.

17. The parties produced a number of Booking Acknowledgment (“BA”) documents into evidence in this proceeding, and those produced BAs are summarized here. Additional booking acknowledgements, which are referenced by the parties, but which documents were not produced, are not summarized here, since their full details could not be confirmed.

1. Booking #6340277340

18. For Booking #6340277340, three empty containers were pulled on August 5, 2022, two of which were returned full to COSCO on September 3, 2022, with the third container being returned full on September 4, 2022. R. Supp. Info. no. 1 at pg. 2; *see also* C. Supp. Info. 2, Ex. F at pg. 2.
19. On July 18, 2022, COSCO issued a BA for Booking # 6340277340, which listed an “INTENDED EARLIEST DELIVERY” (ERD) date of July 28, 2022, an “INTENDED FCL CY CUT-OFF”⁵ date of August 1, 2022, an “INTENDED PORT CY CUT-OFF” of August 3, 2022, and a vessel “ETD” (Estimated Time of Departure) of August 15, 2022. The Booking Acknowledgement listed as Rate Agreement Reference “ECN22101 – (SERVICE CONTRACT)” and listed “Miami Global Lines” as both the Booking Party and Shipper, also noting as “BOOKING QTY SIZE/TYPE” “3 x 40’ Hi-Cube Container” with “Savannah/Georgia Ports” as the port of loading and Greece as the final destination. C. Supp. Info. 2, Ex. A at pgs. 3-4.
20. Subsequent COSCO booking acknowledgements for Booking #6340277340 revised the ERD and related date cutoffs, and included updated booking remarks, but otherwise retained the information noted in the July 20, 2022, BA. C. Supp. Info. 2, Ex. A at pgs. 7-16.
21. Specifically, the COSCO booking acknowledgements for Booking #6340277340 were revised as follows:
- On July 20, 2022, an updated BA noted an ERD of August 5, 2022, a rail ramp cut-off of August 9, 2022, a vessel ETD of August 15, 2022 and included as part of the booking remark: “PLEASE NOTE THE VESSEL IS FURTHER DELAYED DUE TO CONGESTION ISSUES AND WE DO NOT HAVE A COASTAL AT THIS TIME. ONCE WE RECEIVE THE COASTAL WE WILL SEND OVER A REVISED BOOKING ACKNOWLEDGEMENT.” C. Supp. Info. 2, Ex. A at pgs. 5-6.

⁵ FCL stands for “full container load,” and CY stands for “container yard.” Here the FCL CY cut-off date means by the date by which the containers had to be received at COSCO’s rail ramp, in Austell, Georgia. *See, e.g.*, C. Supp. Info. 2, Ex. F at pg. 7 (referring to the “rail ramp cut off,” then set for August 9, 2022); C. Supp. Info. 2, Ex. A at pg. 5 (July 20, 2022, BA for Booking #6340277340, showing an Aug. 9, 2022, FCL CY cut-off, and specifying the full return location of “NS (Austell) Railroad” in Austell, Georgia).

- On July 29, 2022, an updated BA noted an ERD of August 12, 2022, a rail ramp cut-off of August 16, 2022, a vessel ETD of August 22, 2022 and included as part of the booking remark: “PLEASE NOTE THE VESSEL IS FURTHER DELAYED DUE TO CONGESTION ISSUES AND WE DO NOT HAVE A COASTAL AT THIS TIME. ONCE WE RECEIVED THE COASTAL WE WILL SEND OVER A REVISED BOOKING ACKNOWLEDGEMENT.” C. Supp. Info. 2, Ex. A at pgs. 7-8.
 - On August 11, 2022, at 10:12, an updated BA noted an ERD of August 23, 2022, a rail ramp cut-off of August 27, 2022, a vessel ETD of September 1, 2022, and included as part of the booking remark: “PLEASE NOTE THE PORT CUTOFF IS ON 8/29 AND ALL SI’S ARE DUE ON 8/26.” C. Supp. Info. 2, Ex. A at pgs. 9-10.
 - On August 11, 2022, at 14:34, an updated BA noted an ERD of August 20, 2022, a rail ramp cut-off of August 24, 2022, and a vessel ETD of August 31, 2022. C. Supp. Info. 2, Ex. A at pgs. 11-12.
 - On August 19, 2022, an updated BA noted an ERD of September 2, 2022, a rail ramp cut-off of September 6, 2022, a vessel ETD of September 12, 2022, and included as part of the booking remark: “PLEASE NOTE THE PORT CUTOFF IS ON 9/8 AND ALL SI’S ARE DUE ON 9/7.” C. Supp. Info. 2, Ex. A at pgs. 13-14.
 - The three containers were returned full to COSCO on September 3 and September 4, 2022. R. Supp. Info. no. 1 at pg. 2; *see also* C. Supp. Info. 2, Ex. F at pg. 2.
 - On September 6, 2022, an updated BA noted a vessel ETD of September 20, 2022, and included as part of the booking remark: “PLEASE NOTE THE VESSEL HAS BEEN DELAYED DUE TO CONGESTION AND PORT CUT OFF DATES HAVE BEEN UPDATED. SEE BELOW FOR THE NEW ETD AND CUTOFF DATES” C. Supp. Info. 2, Ex. A at pgs. 15-16.
22. COSCO paid terminal demurrage of \$718 for Booking #6340277340, for which it did not seek reimbursement from R&M. R. Supp. Info. no. 1 at pg. 1.

2. Booking #6340277280

23. For Booking #6340277280, two empty containers were pulled on August 4, 2022, a third was pulled on August 5, 2022, and a fourth was pulled on August 8, 2022. R. Supp. Info. no. 1 at pg. 2; *see also* C. Supp. Info. 2, Ex. F at pg. 2. Two were returned full on September 3, 2022, a third was returned full on September 6, 2022, and a fourth was returned full on September 7, 2022. R. Supp. Info. no. 1 at pgs. 2-3.
24. On July 18, 2022, COSCO issued a BA for Booking # 6340277280, which listed an “INTENDED EARLIEST DELIVERY” (ERD) date of July 28, 2022, an “INTENDED FCL CY CUT-OFF” date of August 1, 2022, an “INTENDED PORT CY CUT-OFF” of August 3, 2022, and a vessel “ETD” of August 15, 2022. The Booking

Acknowledgement listed as Rate Agreement Reference “ECN22101 – (SERVICE CONTRACT)” and listed “Miami Global Lines” as both the Booking Party and Shipper, also noting as “BOOKING QTY SIZE/TYPE” “4 x 40’ Hi-Cube Container” with “Savannah/Georgia Ports” as the port of loading and Greece as the final destination. C. Supp. Info. 2, Ex. A at pgs. 18-19.

25. Subsequent COSCO booking acknowledgements for Booking #6340277280 revised the ERD and related date cutoffs, and included updated booking remarks, but otherwise retained the information noted in the July 18, 2022, BA. C. Supp. Info. 2, Ex. A at pgs. 20-29.
26. Specifically, the COSCO booking acknowledgements for Booking #6340277280 were revised as follows:
 - On July 20, 2022, an updated BA noted an ERD of August 5, 2022, a rail ramp cut-off of August 9, 2022, a vessel ETD of August 15, 2022 and included as part of the booking remark: “PLEASE NOTE THE VESSEL IS FURTHER DELAYED DUE TO CONGESTION ISSUES AND WE DO NOT HAVE A COASTAL AT THIS TIME. ONCE WE RECEIVE THE COASTAL WE WILL SEND OVER A REVISED BOOKING ACKNOWLEDGEMENT.” C. Supp. Info. 2, Ex. A at pgs. 20-21.
 - On August 11, 2022, at 10:12, an updated BA noted an ERD of August 23, 2022, a rail ramp cut-off of August 27, 2022, a vessel ETD of September 1, 2022, and included as part of the booking remark: “PLEASE NOTE THE PORT CUTOFF IS ON 8/29 AND ALL SI’S ARE DUE ON 8/26.” C. Supp. Info. 2, Ex. A at pgs. 22-23.
 - On August 11, 2022, at 14:07, an updated BA noted an ERD of August 20, 2022, a rail ramp cut-off of August 24, 2022, and a vessel ETD of August 31, 2022. C. Supp. Info. 2, Ex. A at pgs. 24-25.
 - On August 19, 2022, an updated BA noted an ERD of September 2, 2022, a rail ramp cut-off of September 6, 2022, a vessel ETD of September 12, 2022, and included as part of the booking remark: “PLEASE NOTE THE PORT CUTOFF IS ON 9/8 AND ALL SI’S ARE DUE ON 9/7.” C. Supp. Info. 2, Ex. A at pgs. 26-26.
 - On August 19, 2022, an updated BA noted an ERD of September 2, 2022, a rail ramp cut-off of September 6, 2022, a vessel ETD of September 12, 2022, and included as part of the booking remark: “PLEASE NOTE THE PORT CUTOFF IS ON 9/8 AND ALL SI’S ARE DUE ON 9/7.” C. Supp. Info. 2, Ex. A at pgs. 26-26.
 - On September 3, 6, and 7, 2022, the four containers were returned full to COSCO. R. Supp. Info. no. 1 at pgs. 2-3.
 - On September 6, 2022, an updated BA noted a vessel ETD of September 20, 2022, and included as part of the booking remark: “PLEASE NOTE THE VESSEL HAS BEEN DELAYED DUE TO CONGESTION AND PORT CUT

OFF DATES HAVE BEEN UPDATED. SEE BELOW FOR THE NEW ETD AND CUTOFF DATES.” C. Supp. Info. 2, Ex. A at pgs. 27-28.

27. COSCO paid terminal demurrage of \$1,028 for Booking #6340277280, for which it did not seek reimbursement from R&M. R. Supp. Info. no. 1 at pg. 2.

3. Booking #6334508600

28. Regarding Booking #6334508600, two empty containers were pulled on June 22, 2022, and these were returned full to COSCO on July 12, 2022.⁶ R. Supp. Info. no. 1 at pg. 3; *see also* C. Supp. Info. 2, Ex. G at pg. 44.
29. On June 20, COSCO issued a Booking Acknowledgement for Booking # 6334508600, which listed an “INTENDED EARLIEST DELIVERY” (ERD) date of June 22, 2022, an “INTENDED FCL CY CUT-OFF” date of June 26, 2022, an “INTENDED PORT CY CUT-OFF” of June 28, 2022, and a vessel “ETD” of July 3, 2022. The Booking Acknowledgement listed as Rate Agreement Reference “ECN22101 – (SERVICE CONTRACT)” and listed “Miami Global Lines” as both the Booking Party and Shipper, also noting as “BOOKING QTY SIZE/TYPE” “2 x 40’ Hi-Cube Container” with “Savannah/Georgia Ports” as the port of loading and Greece as the final destination. C. Supp. Info. 2, Ex. A at pgs. 46-47.
30. Subsequent COSCO Booking Acknowledgements for Booking #6334508600 revised the ERD and related date cutoffs, and included updated booking remarks, but otherwise retained the information noted in the June 20, 2022, BA. C. Supp. Info. 2, Ex. A at pgs. 48-59.
31. Specifically, the COSCO Booking Acknowledgements for Booking #6334508600 were afterwards revised as follows:
- On June 28, 2022, an updated BA noted an ERD of July 9, 2022, a rail ramp cut-off of July 13, 2022, a vessel ETD of July 18, 2022, and included as part of the booking remark: “PLEASE NOTE THE VESSEL IS FURTHER DELAYED DUE TO CONGESTION ISSUES AND WE DO NOT HAVE A COASTAL AT THIS TIME. ONCE WE RECEIVED THE COASTAL WE WILL SEND OVER

⁶ R&M does not state when it pulled empty containers, or when it returned these full containers to COSCO. COSCO indicates that a single empty container was pulled for Booking #6334508600 on June 22, 2022, and that the unit was returned full on July 12, 2022. R. Supp. Info. no. 1 at pg. 3. There were two total containers associated with Booking #6334508600, however, and the invoice paid by R&M shows 20 days of yard storage charged for each containers. C. Supp. Info. 2, Ex. G at pg. 44. Therefore, it can be inferred, based on the evidence, that both containers from Booking #6334508600 were pulled and returned on the same dates.

A REVISED BOOKING ACKNOWLEDGEMENT.” C. Supp. Info. 2, Ex. A at pgs. 48-49.

- On June 30, 2022, an updated BA noted an ERD of July 14, 2022, a rail ramp cut-off of July 18, 2022, a vessel ETD of July 21, 2022, and included as part of the booking remark: “PLEASE NOTE THE VESSEL HAS BEEN DELAYED DUE TO CONGESTION AND PORT CUT OFF DATES HAVE BEEN UPDATED. SEE BELOW FOR THE NEW CUTOFF DATES.” C. Supp. Info. 2, Ex. A at pgs. 50-51.
- The two containers were returned full to COSCO on July 12, 2022. PF 28.
- On July 15, 2022, an updated BA noted a vessel ETD of July 29, 2022, and included as part of the booking remark: “PLEASE NOTE THE VESSEL HAS BEEN DELAYED DUE TO CONGESTION AND PORT CUT OFF DATES HAVE BEEN UPDATED. SEE BELOW FOR THE NEW CUTOFF DATES.” C. Supp. Info. 2, Ex. A at pgs. 52-53.
- On July 21, 2022, an updated BA noted a vessel ETD of August 7, 2022, and included as part of the booking remark: “PLEASE NOTE THE VESSEL HAS BEEN DELAYED DUE TO CONGESTION AND PORT CUT OFF DATES HAVE BEEN UPDATED. SEE BELOW FOR THE NEW ETD AND CUTOFF DATES.” C. Supp. Info. 2, Ex. A at pgs. 54-55.
- On July 27, 2022, an updated BA noted a vessel ETD of August 7, 2022, and included as part of the booking remark: “PLEASE NOTE THE PORT CUTOFF HAS BEEN ADVANCED TO 8/2” C. Supp. Info. 2, Ex. A at pgs. 56-57.
- On September 1, 2022, an updated BA noted a vessel ETD of August 6, 2022, and included as part of the booking remark: “TERMINAL FALSELY STATED THE CONTAINER LOADED AND SAILED. THEN LOCATED ON TERMINAL. WE ARE SPLITTING IT OFF TO NEW BOOKING SO IT CAN LOAD A VESSEL AND SAIL” C. Supp. Info. 2, Ex. A at pgs. 58-59.

32. COSCO paid terminal demurrage of \$1,500 for Booking #6334508600, for which it did not seek reimbursement from R&M. R. Supp. Info. no. 1 at pg. 3.

4. Booking #6334022290

33. Regarding Booking #6334022290, two empty containers were pulled on June 21, 2022, and these were returned full to COSCO on July 12, 2022.⁷ R. Supp. Info. no. 1 at pg. 3; *see also* C. Supp. Info. 2, Ex. G at pg. 44.

⁷ R&M does not state when it pulled empty containers, or when it returned these full containers to COSCO. COSCO indicates that a single empty container was pulled for Booking #6334022290 on June 21, 2022, and that the unit was returned full on July 12, 2022. R. Supp. Info. no. 1 at pgs. 3-4. There were two total containers associated with Booking #6334022290, however, and the invoice paid by R&M shows 20 days of yard storage charged for each

34. On June 23, COSCO issued a Booking Acknowledgement for Booking # 6334022290, which listed an “INTENDED EARLIEST DELIVERY” (ERD) date of July 7, 2022, an “INTENDED FCL CY CUT-OFF” date of July 11, 2022, an “INTENDED PORT CY CUT-OFF” of July 13, 2022, and a vessel “ETD” of July 16, 2022. The Booking Acknowledgement listed as “RATE AGREEMENT REFERENCE” the ECN22101 service contract; Miami Global Lines as both booking party and shipper; and described as “BOOKING QTY SIZE/TYPE” “2 x 40’ Hi-Cube Container” with “Savannah/Georgia Ports” as the port of loading and Greece as the final destination. C. Supp. Info. 2, Ex. A at pgs. 31-32.
35. Subsequent COSCO booking acknowledgements for Booking #6334022290 revised the ERD and related date cutoffs, and included updated booking remarks, but otherwise retained the information noted in the June 23, 2022, BA. C. Supp. Info. 2, Ex. A at pgs. 33-44.
36. Specifically, the COSCO booking acknowledgements for Booking #6334022290 were revised as follows:
- On June 28, 2022, an updated BA noted an ERD of July 9, 2022, a rail ramp cut-off of July 13, 2022, a vessel ETD of July 18, 2022 and included as part of the booking remark: “PLEASE NOTE THE VESSEL IS FURTHER DELAYED DUE TO CONGESTION ISSUES AND WE DO NOT HAVE A COASTAL AT THIS TIME. ONCE WE RECEIVED THE COASTAL WE WILL SEND OVER A REVISED BOOKING ACKNOWLEDGEMENT.” C. Supp. Info. 2, Ex. A at pgs. 33-34.
 - On June 30, 2022, an updated BA noted an ERD of July 14, 2022, a rail ramp cut-off of July 18, 2022, a vessel ETD of July 21, 2022, and included as part of the booking remark: “PLEASE NOTE THE VESSEL HAS BEEN DELAYED DUE TO CONGESTION AND PORT CUT OFF DATES HAVE BEEN UPDATED. SEE BELOW FOR THE NEW CUTOFF DATES.” C. Supp. Info. 2, Ex. A at pgs. 35-36.
 - On July 8, 2022, an updated BA noted an ERD of July 12, 2022, a rail ramp cut-off of July 16, 2022, a vessel ETD of July 21, 2022, and included as part of the booking remark: “PLEASE NOTE THE VESSEL IS FURTHER DELAYED DUE TO CONGESTION ISSUES AND WE DO NOT HAVE A COASTAL AT THIS TIME. ONCE WE RECEIVE THE COASTAL WE WILL SEND OVER A REVISED BOOKING ACKNOWLEDGEMENT.” C. Supp. Info. 2, Ex. A at pgs. 37-38.
 - The two containers were returned full to COSCO on July 12, 2022. PF 33.

container. C. Supp. Info. 2, Ex. G at pg. 45. Therefore, it can be inferred, based on the evidence, that both containers from Booking #6334022290 were pulled and returned on the same dates.

- On July 15, 2022, an updated BA noted a vessel ETD of July 29, 2022, and included as part of the booking remark: “PLEASE NOTE THE VESSEL HAS BEEN DELAYED DUE TO CONGESTION AND PORT CUT OFF DATES HAVE BEEN UPDATED. SEE BELOW FOR THE NEW ETD AND CUTOFF DATES.” C. Supp. Info. 2, Ex. A at pgs. 39-40.
 - On July 21, 2022, an updated BA noted a vessel ETD of August 7, 2022, and included as part of the booking remark: “PLEASE NOTE THE VESSEL HAS BEEN DELAYED DUE TO CONGESTION AND PORT CUT OFF DATES HAVE BEEN UPDATED. SEE BELOW FOR THE NEW ETD AND CUTOFF DATES.” C. Supp. Info. 2, Ex. A at pgs. 41-42.
 - On July 27, 2022, an updated BA noted a vessel ETD of August 7, 2022, and included as part of the booking remark: “PLEASE NOTE THE PORT CUTOFF HAS BEEN ADVANCED TO 8/2” C. Supp. Info. 2, Ex. A at pgs. 43-44.
37. COSCO paid terminal demurrage of \$832 for Booking #6334022290, for which it did not seek reimbursement from R&M. R. Supp. Info. no. 1 at pg. 3.

C. Reparations Requested and Related Communications

38. R&M makes a total claim for reparations for \$30,915. Amended Claim ¶ VI; Claim, Ex. at pgs. 6-7; R. Supp. Info, Ex. J.
39. Regarding the Case #1 bookings (#6340277340 and 6340277280) R&M requests reparations for \$22,900 in charges including yard storage, chassis, and extra stop fees, which were billed by Universal. C. Supp. Info. 2, Ex. G at pgs. 2-3; *see also* C. Supp. Info. 2, Ex. G at pgs. 48-49 (\$13,400 invoice from MGL to R&M for booking #6340277280), at pgs. 50-51 (\$9,500 invoice from MGL to R&M for booking #6340277340). Receipts show that MGL paid its supplier, Universal, for these charges. C Supp 2, Ex. D at pgs. 2-3 (receipts showing payment by MGL to Universal); *see also* C Supp. Info 2, Ex. G at pgs. 46-47 (invoices from Universal to MGL). However, as of mid-2024, R&M continued to dispute that it should have to pay these charges, and there is no record of R&M ultimately paying MGL for these charges. C. Supp. Info 2, Ex. E at pgs. 2-8.
40. Regarding the Case #2 bookings (#6334508600 and 6334022290) R&M requests reparations for \$7,915 in charges including truck yard storage, redelivery, and chassis fees, which were billed by BPX Logistics. C. Supp. Info 2, Eg. G at pgs. 2, 44-45. MGL invoiced R&M for these charges, and R&M paid MGL for these \$7,915 in charges. C. Supp. Info 2, Eg. G at pgs. 44-45.
41. On March 29, 2014, Miami Global Lines emailed R&M, sending statement #5069, for \$22,900, concerning the Case #1 bookings, and MGL requested that R&M remit payment at its earliest convenience. C. Supp. Info. 2, Ex. E at pg. 8.

42. R&M replied on April 2, 2024, noting that the invoice concerned containers that were shipped to Greece in August 2022 with COSCO, and writing:

As you are aware, per your request we sent an email to Cosco about filing a complaint with the Federal Maritime Commission.

Can you please double check with your financing team on this as they are still sending us request to pay these extra charges.

C Supp. Info. 2, Ex. E at pg. 7.

43. Mr. Hamid Hussaini, President & CEO of MGL, replied to R&M on April 2, 2024, writing:

Now that a considerable period passed, and we all tried our best to get this matter settled but unfortunately it is not happening. The amount is big for a small company like us. We released your cargo considering our relationship in contrast to other customers where we demand all charges before releasing shipment. It is over 2 years since this incident happened. We would like to have this amount paid to us and we suggest that you file a complaint with FMC dispute resolution again COSCO to demand payment of this amount to you with all evidence.

C. Supp. Info. 2, Ex. E at pgs. 6-7.

44. R&M responded later on April 2, 2024, writing:

I understand that this is frustrating for all involved. We value our relationship with Miami Global, but please understand that R & M had no control of this incident. As a reminder, we already paid \$7,915.00 for extra charges for the shipments to Greece (BKG# 633402290 and 6334508600) prior of these 7 containers, back in 2022 when the containers were in trucker's yard for 20 days. We were waiting for reimbursement of these extra charges, but never received an answer. I also had confirmation from Jeet, that there wouldn't be any extra charges for the bookings # 6340277280 and 6340277340.

C. Supp. Info. 2, Ex. E at pg. 6.

45. On April 5, 2024, Mr. Hussaini replied to R&M, writing:

Since these amounts are considerable high particularly for forwarder like us who works with very thin margins, I believe we have following choices:

1. Go to FMC and claim. (FMC did give decisions in favor of shippers/consignees and penalized ocean carrier during COVID time and this cost is also related to same affect). Filing thru R&M as actual shipper will exert more power than us as forwarder. We will prepare all and give it to you for first filing. Thereafter we will follow with FMC as party of concern in this case as well.
2. R&M being shipper bear all cost.
3. MGL share some burden in consideration of business relationship.

C. Supp. Info. 2, Ex. E at pgs. 3-4.

46. R&M replied to Mr. Hussaini on April 10, 2024, writing:

After discussing with my boss this unpleasant situation that involved all of us, we came to the decision below.

Please prepare all necessary documents to file the complaint to Federal Maritime Commission and please send us instructions how to file it.

In this complaint, please also include reimbursement of extra charges (\$7,915.00) that R&M paid for BKG# 633402290 and 6334508600.

I am optimistic that this issue will be resolved in your favor.

Supp. Info. 2, Ex. E at pg. 3.

III. DISCUSSION

A. Controlling Authority

COSCO acted as an ocean common carrier for the relevant shipments. PFs 3-5. “The term ‘ocean common carrier’ means a vessel-operating-common carrier.” 46 U.S.C. § 40102(18). A “common carrier” is a person that –

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country
....

46 U.S.C. § 40102(7). R&M was the shipper for the relevant shipments. PF 2. The term “shipper” means –

- (A) a cargo owner;
- (B) the person for whose account the ocean transportation of cargo is provided;
- (C) the person to whom delivery is to be made;
- (D) a shippers’ association; or
- (E) a non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract.

46 U.S.C. § 40102(23).

R&M alleges that COSCO violated sections 41102(c), 41104(a)(3), and 41104(a)(4) of the Shipping Act. Section 41102(c) provides that: “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

Pursuant to section 545.4 of the Commission’s Regulations, in order to establish a successful claim for reparations under section 41102(c), a claimant must demonstrate that:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

R&M also alleges that COSCO violated sections 41104(a)(3) and 41104(a)(4) which provide:

- (a) In general.--A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not--
 - (3) unreasonably refuse cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods;

(4) for service pursuant to a tariff, engage in any unfair or unjustly discriminatory practice in the matter of--

(A) rates or charges;

(B) cargo classifications;

(C) cargo space accommodations or other facilities, with due regard being given to the proper loading of the vessel and the available tonnage;

(D) loading and landing of freight; or

(E) adjustment and settlement of claims;

46 U.S.C. § 41104(a)(3)-(4).

B. Evidence and Burden of Proof

“In all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order.” 46 C.F.R. § 502.203. A person alleging a Shipping Act violation, therefore, bears the burden of proof to demonstrate its allegations by a preponderance of the evidence. 46 C.F.R. § 502.203; 5 U.S.C. 556(d); *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). The term, “burden of proof” is understood to mean “the burden of persuasion.” *Director v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). When the party with the burden of persuasion produces sufficient evidence (characterized as a prima facie case), the burden of production shifts to the other party to produce evidence rebutting that case. *In re South Carolina State Ports Auth. for Declaratory Order*, Docket No. 94-24, 27 S.R.R. 1137, 1161 (FMC Aug. 12, 1997). *Steadman v. SEC*, 450 U.S. 91, 101 (1981) (“Where a party having the burden of proceeding has come forward with a prima facie or substantial case, he will prevail unless his evidence is discredited or rebutted.”). When direct evidence is unavailable, inferences may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993) adopted in relevant part, 1994 WL 279898, 26 S.R.R. 1424 (FMC June 13, 1994). If the evidence produced by both parties is evenly balanced, the party with the burden of persuasion will not prevail. *Greenwich Collieries*, 512 U.S. at 281.

C. Analysis

1. Claimant Fails to Demonstrate that a 41102(c) Violation Occurred

R&M alleges that COSCO violated section 41102(c), which forbids a common carrier, marine terminal operator, or ocean transportation intermediary to fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property. 46 U.S.C § 41102(c). To succeed in a claim for reparations under section 41102(c), the claimant must demonstrate that the respondent is an

ocean common carrier, marine terminal operator, or ocean transportation intermediary; the alleged illegal conduct is occurring on a normal, customary, and continuous basis; the alleged practice or regulation relates to or is connected with receiving, handling, storing or delivering property; the alleged practice or regulation is unjust or unreasonable; and, the alleged practice or regulation in question is the proximate cause of the loss the claimant alleges it suffered. 46 C.F.R. § 545.4. Failure to demonstrate any of these five elements precludes the finding of a section 41102(c) violation and award of reparations to the claimant.

It is undisputed that COSCO acted as common carrier for the shipments at issue, establishing the first criteria. PFs 4-5. The alleged conduct, COSCO's changing of the ERD dates, concerns containers that COSCO shipped for R&M from the United States to Greece. PFs 5, 8-9. Therefore, the element requiring that the practice at issue relate to the receiving, handling, storing, or delivering of property is also satisfied. Claimant does not succeed in establishing the described practice to be unjust or unreasonable, however.

The crux of R&M's argument regarding reasonableness is that COSCO "repeatedly changed the Earliest Return Date (ERD) and booking confirmations after R&M had already withdrawn empty containers for export stuffing," and that these "changes were made without reasonable notice or justification, and occurred on multiple occasions in July 2022 and August 2022." C. Supp. Info. 2, no. 1 at pg. 2. R&M further alleges that this "conduct forced R&M to incur substantial additional costs for: multiple container movements; temporary storage in private warehouses; [and] delays in export schedules." C. Supp. Info. 2, no. 1 at pg. 2.

When asked to elaborate, R&M asserts that with respect to the Case #1 containers, "COSCO subsequently revised the ERDs multiple times, often within 24-48 hours of the scheduled return, citing internal scheduling issues" such that R&M was forced to "[r]elocate containers from the port to a private warehouse" and later required to "[r]e-deliver containers to the port" causing "double handling and storage costs." C. Supp. Info. 2, no. 2 at pgs. 3-4. Regarding the Case #2 bookings, R&M more simply asserts that "extra charges of \$7915 [were] incurred for storage of containers outside the port" C. Supp. Info. 2, no. 2 at pg. 6.

The evidence shows that COSCO did change the ERD dates for the bookings at issue on a number of occasions, which COSCO also acknowledges. PFs 14. But R&M's contention that these changes were made due to "internal scheduling issues" and "without reasonable notice or justification" is not supported by the record.

Regarding justification for the delays, as COSCO states in its response, "[t]his was during the pandemic period where all vessels were extremely delayed due to port/terminal congestion." R. Supp. Info. no. 1 at pg. 1. Numerous contemporaneous booking acknowledgements received by R&M in July and August 2022 corroborate this assertion. *See, e.g.*, PF 21 (July 29, 2022, BA for Booking #6340277340, noting: "THE VESSEL IS FURTHER DELAYED DUE TO CONGESTION ISSUES AND WE DO NOT HAVE A COASTAL AT THIS TIME. ONCE WE RECEIVED THE COASTAL WE WILL SEND OVER A REVISED BOOKING

ACKNOWLEDGEMENT.”).⁸ Indeed, even emails from Miami Global Lines to R&M in July 2022 acknowledge the significant logistical challenges during this time period. PF 15 (As MGL noted to R&M: “Due to ongoing uncertainties in booking and non-availability of containers and storage space at terminals, many a times after issuing empty containers lines are shifting their ERD and dates of receiving containers in the yard. Such situations force us to store containers in private warehouses and involve additional move of containers at an extra cost.”) Claimant has offered no proof contesting that vessel shortages and port congestion impacted COSCO’s scheduling for the relevant shipments.

Next concerning R&M’s claim that COSCO did not provide reasonable notice of changes and revised the ERDs “often within 24-48 hours of the scheduled return,” this is not borne out by the facts. First, the evidence shows that COSCO’s booking acknowledgements more often provided a larger amount of notice. PFs 19, 21, 24, 26, 29, 31, 34, 36.⁹ Then too, COSCO’s booking acknowledgements sometimes stated that vessels were not yet available and that a revised booking acknowledgement would be forthcoming. In such cases, it seems more appropriate to view the earliest return and related dates as placeholders, vs. dates to be relied upon, for example when a booking acknowledgement included a remark like: “WE DO NOT HAVE A COASTAL AT THIS TIME. ONCE WE RECEIVED THE COASTAL WE WILL SEND OVER A REVISED BOOKING ACKNOWLEDGEMENT.” See, e.g. PF 21 (July 29, 2022, BA for Booking # 6340277340).

But even in the handful of instances in which booking acknowledgements were in fact updated within 24 hours of the earliest return date, this cannot be said to be unreasonable under the circumstances. The earliest return date was just that – the *earliest* that a container could be

⁸ Similar booking remarks appeared across each of the other relevant bookings as well. See, e.g., PF 26 (July 20, 2022, BA for Booking #6340277280, noting: “THE VESSEL IS FURTHER DELAYED DUE TO CONGESTION ISSUES AND WE DO NOT HAVE A COASTAL AT THIS TIME. ONCE WE RECEIVE THE COASTAL WE WILL SEND OVER A REVISED BOOKING ACKNOWLEDGEMENT”); PF 31 (June 28, 2022, BA for Booking #6334508600, noting: “THE VESSEL IS FURTHER DELAYED DUE TO CONGESTION ISSUES AND WE DO NOT HAVE A COASTAL AT THIS TIME. ONCE WE RECEIVED THE COASTAL WE WILL SEND OVER A REVISED BOOKING ACKNOWLEDGEMENT.”); PF 36 (June 30, 2022, BA for Booking #6334022290, noting: “THE VESSEL HAS BEEN DELAYED DUE TO CONGESTION AND PORT CUT OFF DATES HAVE BEEN UPDATED. SEE BELOW FOR THE NEW CUTOFF DATES.”).

⁹ As examples, for Booking # 6340277340, the July 20 BA was issued 8 days prior to then-current ERD, and the July 29 BA was issued 7 days prior to then-current ERD (PFs 19, 21); for Booking # 6340277280, the July 20 BA issued 8 days prior to the then-current ERD (PFs 24, 26); for Booking # 6334508600, the June 30 BA was issued 9 days prior to the then-current ERD (PF 31); and for Booking # 6334022290, the June 28 BA was issued 9 days prior to the then-current ERD, the June 30 BA was issued 9 days prior to the then-current ERD, and the July 8 BA was issued 6 days prior to the then-current ERD (PFs 34, 36).

returned, not the deadline. Even the shortest notice reschedulings were thus communicated to R&M many days before the deadline by which containers had to be provided to COSCO at the rail yard.¹⁰ Further, R&M has not alleged, nor provided any evidence to support, that COSCO could have provided updates earlier but did not.

R&M's claim that COSCO "forced us to keep our export ready containers in private yard[s]" similarly is not sufficiently supported by the evidence. COSCO asserts, for example, that "empty containers could have been returned which would have mitigated any 3rd party storage charges," which argument is not addressed by R&M. Answer, no. 3 at pg. 1. R&M also does not address whether it considered pulling empty containers later, or keeping the stuffed containers at its warehouse in Covington, GA, longer, vs. immediately transporting them to Austell, GA, where the containers began to accrue truck yard fees. Indeed, taking the Case #1 bookings as an example, in the same July 2022 emails where MGL established a loading schedule with R&M, MGL noted that "many times after issuing empty containers lines are shifting their ERD and dates of receiving containers in the yard." PF 15. Considering this, it is not clear why R&M proceeded to pull empty containers between August 4 and 8, 2022, and to stuff and transport them between August 4 and 9, given the then-operative BAs indicated "THE VESSEL IS FURTHER DELAYED DUE TO CONGESTION ISSUES AND WE *DO NOT HAVE A COASTAL AT THIS TIME. ONCE WE RECEIVED THE COASTAL WE WILL SEND OVER A REVISED BOOKING ACKNOWLEDGEMENT.*" PFs 21, 26 (emphasis added). Also of note, the August 11, 2022, booking acknowledgements that followed offered a wide window for containers to be prepared, specifying an ERD of August 20, 2022, and a rail ramp cut-off of August 24, 2022. PFs 21, 26. R&M provides the booking acknowledgements, but presents no information concerning the loading schedule and trucking timeline for the Case #2 bookings.

COSCO argues as well that the fees identified by R&M are "3rd party storage charges" and that "[n]one of the disputed charges are COSCO charges." Answer, no. 3 at pg. 1. The evidence shows this to be correct, and that R&M seeks reimbursement for yard storage, chassis, and extra stop fees billed by Universal Intermodal Services, and for truck yard storage, redelivery fees, and chassis fees billed by BPX Logistics. PFs 39-40. The fact that COSCO did not collect the fees for which R&M seeks reparations is also appropriate to be considered in assessing reasonableness. For example, it may have been unreasonable for COSCO to change the ERD dates and then to profit from such changes. But here, the opposite transpired. Once the containers had been handed off to COSCO, vessel delays continued to occur, resulting in terminal storage fees. PFs 22, 27, 32, 37; *see also* PFs 21, 26, 31, 36. But COSCO paid these fees totaling \$4,078 itself; it did not seek reimbursement from R&M for terminal storage. PFs 22, 27, 32, 37. Indeed, the fact that delays continued to occur – after COSCO had possession of the

¹⁰ For example, the final August 11, 2022, BA, for Booking # 6340277340 had established an ERD of August 20 and a rail ramp cut-off of August 24, 2022. PF 20. When these deadlines were updated on August 19, this was one day before what had been the earliest delivery date (of August 20), but five days before the rail ramp cut-off (of August 24). PF 20. Similarly, the August 19 update for Booking # 6340277280 occurred one day before what had been the ERD (of August 20), but five days before the rail ramp cut-off (of August 24). PF 26.

containers and was itself absorbing the costs of extra storage – further supports that vessel delays during this period were outside of COSCO’s control.

Thus, based on the evidence presented, Claimant has not carried its burden of establishing that COSCO’s ERD date changes were unreasonable pursuant to section 41102(c). Because R&M has not established an unreasonable practice by COSCO, R&M’s section 41102(c) claim is therefore dismissed.

2. Claimant Fails to Demonstrate a Section 41104(a)(3) Violation

R&M alleges that COSCO violated section 41104(a)(3), which directs that a common carrier shall not “unreasonably refuse cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods.” 46 U.S.C. § 41104(a)(3). R&M asserts in its supplemental response that “[d]espite confirmed bookings through Miami Global Lines (MGL), COSCO refused to accept export-ready containers by altering ERDs and not honoring the original booking terms” and that this “refusal disrupted R&M’s logistics chain and export commitments, causing financial harm and operational inefficiencies.” C. Supp. Info. 2, no. 1 at pgs. 2-3.

First, COSCO did not promise to accept containers by the earliest return dates initially communicated. The booking acknowledgements explicitly refer to the “*INTENDED EARLIEST DELIVERY*” and the “*INTENDED FC: CY CUT-OFF*,” while the ETD refers to the *estimated* time of vessel departure. *See, e.g.*, PFs 18, 23, 28, 33. The evidence supports that COSCO’s vessels were delayed by port congestion, but that R&M’s containers were ultimately transported to Greece. *See, e.g.*, PFs 8-9, 15, 20, 25, 30, 35. Further, as already discussed, COSCO is found not to have acted unreasonably in revising the earliest return dates for containers.

In short, there is no credible evidence supporting that cargo space accommodations were available, but withheld, from R&M – either reasonably or unreasonably. Rather it appears that cargo space accommodations were provided to R&M when available. R&M also has not supported that COSCO treated R&M differently than any other shipper. Likewise, Claimant has not supported that COSCO resorted to any other manner of unfair or unjustly discriminatory methods. R&M’s 41104(a)(3) claim is therefore dismissed.

3. Claimant Fails to Demonstrate a Section 41104(a)(4) Violation

R&M alleges that COSCO violated section 41104(a)(4), which directs that a common carrier shall not “for service pursuant to a tariff, engage in any unfair or unjustly discriminatory practice in the matter of--(A) rates or charges; (B) cargo classifications; (C) cargo space accommodations or other facilities, with due regard being given to the proper loading of the vessel and the available tonnage; (D) loading and landing of freight; or (E) adjustment and settlement of claims.” 46 U.S.C. § 41104(a)(4). R&M asserts in its supplemental response that “COSCO’s inconsistent and discriminatory treatment of R&M’s shipments – despite confirmed bookings – constitutes an unfair practice under this section.” C. Supp. Info. 2, no. 1 at pg. 3. R&M further alleges that “R&M was treated differently from other shippers who were not

subjected to such repeated changes, without any transparent or reasonable explanation.” C. Supp. Info. 2, no. 1 at pg. 3.

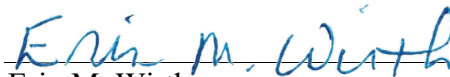
Yet, R&M does not support its assertion that R&M was treated differently from other shippers with any credible evidence. In any event, under the plain language of the statute, the prohibition of section 41104(a)(4) applies to service “pursuant to a tariff.” However, the containers at issue here were transported pursuant to the terms of a service contract between COSCO and MGL, as the booking acknowledgements and bills of lading all reflect. PFs 11, 13, 19-21, 24-26, 29-31, 34-36. Accordingly, as a matter of law, section 41104(a)(4) does not apply in this case. *Yakov Kobel v. Hapag-Lloyd A.G.*, Docket No. 10-06, 2012 WL 11914695, at *22 (ALJ Feb. 14, 2012) (dismissal of 41104(a)(4) claim affirmed in 2013 WL 9808671, at *20-21). But, even if this section did apply, as previously discussed, Claimant has not established any unfair or unjustly discriminatory practices by COSCO. R&M’s 41104(a)(4) claim is dismissed.

IV. CONCLUSION

Claimant R&M fails to demonstrate that COSCO violated sections 41102(c), 41104(a)(3), or 41104(a)(4) of the Shipping Act. It is therefore:

ORDERED that R&M’s request for reparations against COSCO be **DENIED**. It is

FURTHER ORDERED that R&M’s claims against COSCO be **DISMISSED WITH PREJUDICE**.



Erin M. Wirth
Small Claims Officer